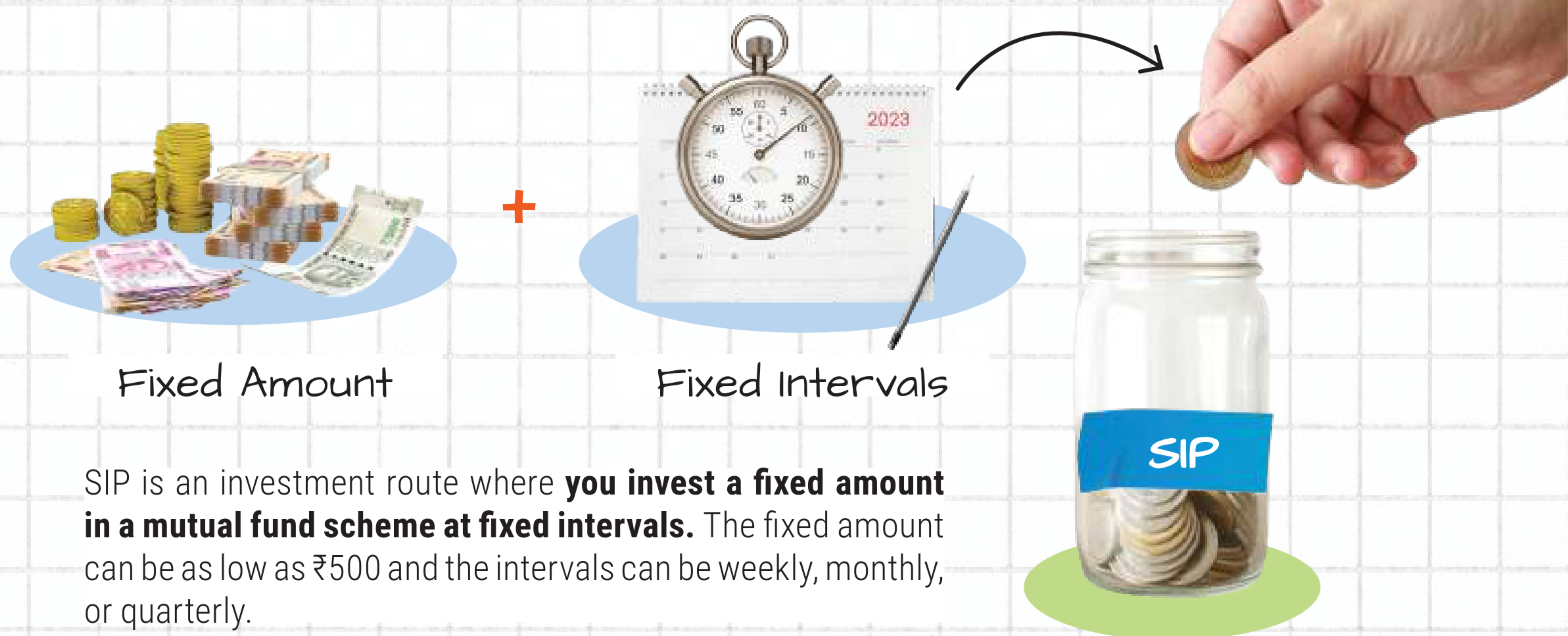


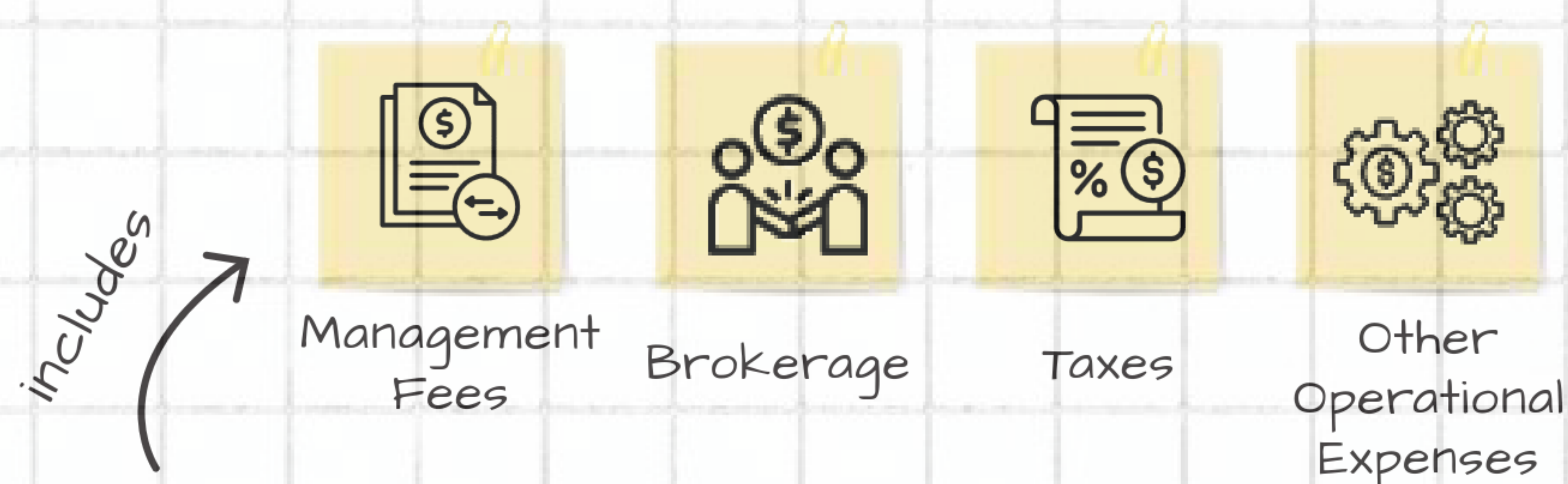
It's a bit like an IPO (Initial Public Offering) for a company, but instead of buying shares in a company, you're buying units in a new investment scheme.

g. Systematic Investment Plan (SIP)



h. Total Expense Ratio

Total Expense Ratio is the fee which is charged by the AMC for managing the funds. It includes the management fees, Brokerage, taxes, and other operational expenses that the AMC incurred while managing the fund.



$$\text{TER} = \frac{\text{Total Expenses}}{\text{Assets under Management}} \times 100\%$$

Before distributing returns to investors, the TER is deducted from the total return earned by the fund. The TER varies from scheme to scheme and even AMC to AMC and is around 0.8% - 2.5%.